# Examining Australia's world-first teen social media ban

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Starting from December 10, the Australian Government has imposed a social media ban for children under 16. The government aims to curb the negative impact social media has brought to society. Stakeholders have different opinions about this policy and whether it is beneficial or harmful to society. This article evaluates the positive and negative effects of this social media ban by considering the **economic well-being** of different stakeholders in Australia.

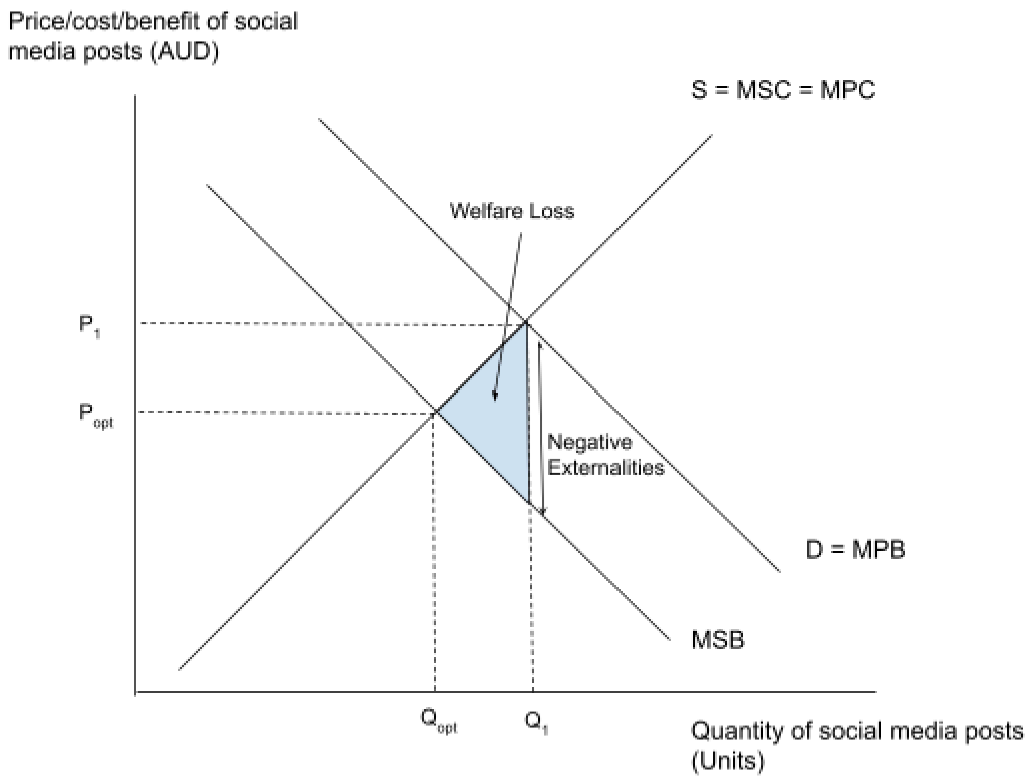


Figure 1: Negative Externalities of overuse of social media in Australia

As seen in Figure 1, the socially optimal level of social media usage in Australia should be where MSC intersects MSB, at the optimal quantity Qopt. However, social media users only consider the private benefits (MPB) of reading social media posts and do not recognize the negative effects of social media on their mental health. For instance, misinformation, bullying, and harmful body image portrayals displayed in the media can negatively impact their **economic well-being**. Meanwhile, they overlook the negative externalities of social media overexposure, including reduced labor productivity due to increased anxiety and depression, as well as the government's financial burden in addressing mental health issues. As a result, there is an overexposure of ($Q_1$ - $Q_{opt}$). At Q1, the market is in allocative inefficiency as MSC > MSB. The welfare loss is depicted by the shaded blue area, indicating that the market fails to maximize society's **economic well-being** in Australia.

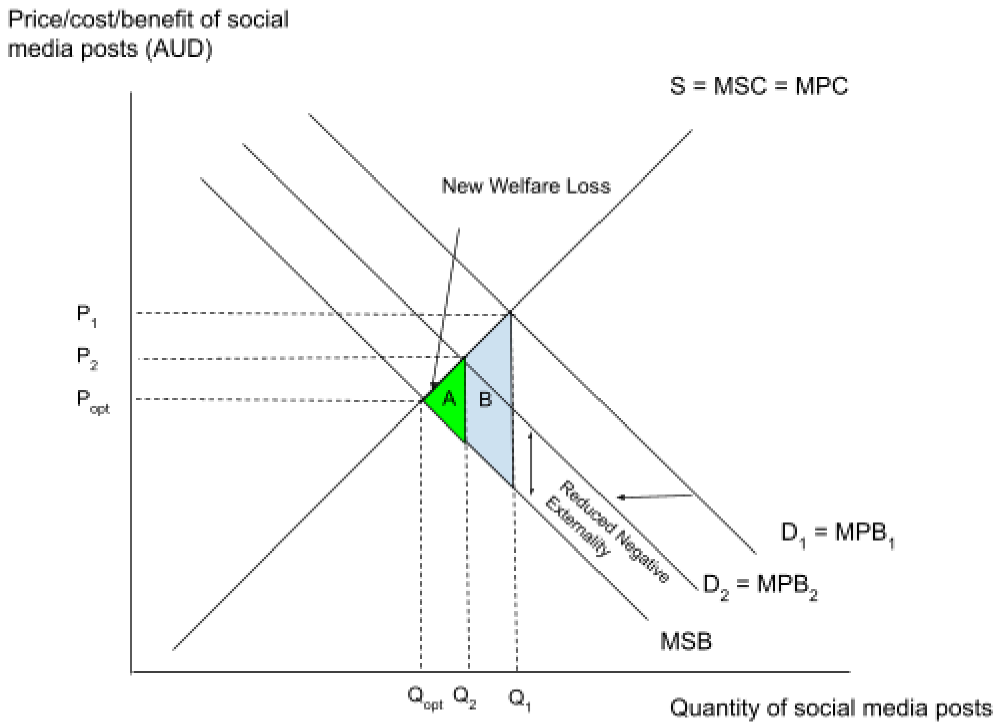


Figure 2: Impacts of the Ban on Social Media Use Among Teenagers in Australia

To address declining social **well-being** linked to concerns about social media, the Australian government has enacted a ban on social media use for all children under 16. The ban restricts access for teenagers, resulting in fewer Australians engaging with social media posts. This restriction decreases overall demand from D1 to D2. If the ban is successful, the use of social media will decrease from Q1 to the optimal level Qopt where MSC intersects with MSB. This regulation will improve the **economic well-being** of one million children in Australia, as they will no longer be exposed to the harmful effects of social media posts. This would largely improve their mental health status and, in turn, improve their **economic well-being**.

Additionally, the government aims to decrease instances of anxiety, depression, and related disorders, thereby improving individuals' **economic well-being** and reducing the public resources required for treatment and support. This, in turn, lowers the financial burden on the public health system and improves **overall economic well-being** in society. Overall, the original welfare loss of shaded area A+B is internalised, and the social media market achieves allocative efficiency in Australia.

However, this regulation may not completely address the negative externalities associated with social media overuse. This is because people of all ages, not only those under 16, can access social media. Therefore, they are also exposed to the negative effects of viewing social media posts. As a result, only a part of the external costs is internalised. The demand curve may instead shift inwards from D1 to D2, forming a new equilibrium at P2 and Q2, both closer to but still above the socially optimal level of Popt and Qopt. Hence, only a portion of the welfare loss (Area B) will be internalised, and the **economic well-being** of Australians will still decrease because of the remaining welfare loss A.

Additionally, some stakeholders may think this regulation is excessive and causes more negative effects than positive. A teenager wrote on TikTok, "No more social media ... no more contact with the rest of the world," expressing the concern that a lack of social media posts exposure could lead teens to become disconnected from the world, which could actually harm their mental health status and lead to worse **economic well-being**. Furthermore, the social media platforms are directly affected by this regulation. Although platforms have expressed that they earn little from advertising to under-16s, they are concerned that this regulation may impact their "future pipeline of users," directly harming their ability to earn revenue in the future. Therefore, this regulation may negatively impact the **economic well-being** of youth and significantly harm social media platforms, without fully internalizing the negative externalities.

In conclusion, Australia has used a regulation to ban social media posts from being provided to teens under 16, which will reduce the risks of misinformation, bullying, and harmful body images being spread to the youth. This regulation can therefore improve the **economic well-being** of the youth by improving their mental health status and reducing society's burden on mental health healthcare. However, this regulation cannot fully internalise the negative externalities because it only targets the youth and not all users of social media posts. The Australian government should consider using other regulations, such as education schemes. As the information in social media posts varies widely, education schemes can teach social media users how to use social media while avoiding its negative effects.